

## PROCUREMENT AGREEMENT

Agreement Reference: CNTR-1021

Effective Date: February 26, 2024

Expiry Date: February 25, 2027

### 1. Parties

Supplier: Tesla, Inc.

Address: 3500 Deer Creek Road, Palo Alto, California, 94304, United States

Contact Person: James Anderson

Phone: +1 (555) 901-2345

Email: james.anderson@tesla.com

Buyer: MOL (Mitsui O.S.K. Lines)

Address: 2-1, Toranomon 2-chome, Minato-ku, Tokyo 105-8688, Japan

Contact Person: Riko Takahashi

Phone: +81 (3) 3585-2511

Email: riko.takahashi@mol.co.jp

### 2. Product Description

Product Name: Home Security Systems

Quantity: As specified in individual Purchase Orders (PO).

Quality Standards:

Products must comply with ISO 9001:2015 for quality management systems.

Buyer will conduct inspections within 5 business days of delivery.

### 3. Base Pricing and Payment Terms

Base Pricing: \$840,000 annually for the supply of Home Security Systems.

Discount Structure: A 7% discount applies to Purchase Orders exceeding \$300,000.

Inflation Adjustment: Pricing increases by 2.5% annually starting July 1, 2025.

Payment Terms: Payments are due 30 days from the invoice date.

Late Payment Penalty: A 2% interest per month applies to overdue payments.

### 4. Delivery Terms

Delivery Timeline: Products must be delivered within 10 business days of PO confirmation.

Delivery Locations: As specified in individual Purchase Orders.

Late Delivery Penalty:

A 1.2% penalty per week of order value for late deliveries.

Maximum penalty: 10% of order value.

## 5. Contract Renewal and Termination

Renewal Clause:

The contract is eligible for automatic 2-year renewal unless terminated 90 days prior to expiry.

Termination Conditions:

Failure to meet delivery schedules 3 consecutive times.

Quality non-compliance in more than 2 batches.

Mutual termination with 90 days' written notice.

## 6. Risk Management and Compliance

Supplier must ensure:

Products meet all applicable safety and environmental regulations.

Safe transit standards to prevent damage.

Buyer reserves the right to:

Conduct quarterly audits of product quality and compliance.

## 7. Contractual Penalties and Quality Assurance

Quality Penalties: A 5% penalty applies for any defective batches.

Late Delivery Penalty: As per Section 4 above.

Quality Guarantees:

Products must achieve a 100% pass rate during inspections.

Consecutive quality failures will trigger a review and potential renegotiation.

## 8. Confidentiality

Both parties agree to maintain confidentiality of all sensitive business information disclosed during this contract. This obligation survives contract expiration.

#### 9. Dispute Resolution

In the event of disputes, the matter will first be resolved through good-faith negotiations. Unresolved disputes will proceed to arbitration under the laws of California, United States.

#### 10. Governing Law

This agreement is governed by the laws of California, United States.

#### 11. Miscellaneous

This agreement represents the entire understanding between the parties and supersedes prior agreements. Amendments must be made in writing and signed by both parties.

#### 12. Signatures

Supplier Representative:

Name: James Anderson

Title: Procurement Manager

Signature: James Anderson

Date: December 19, 2024

Buyer Representative:

Name: Riko Takahashi

Title: Supply Chain Director

Signature: Riko Takahashi

Date: December 19, 2024